



What the SEC Asked

The questions the regulator forces — and what they reveal

From the comment letters of 19 semiconductor companies · a Semipply Research Reader

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When a semiconductor company files to go public, the SEC reads the filing and writes back. Its comment letters demand that the company explain, quantify, or disclose the things it would rather leave in a footnote — and the company has to answer before the filing clears. That correspondence is public, and it is the closest thing to a free diligence report a market ever gets: **the regulator has already asked the hard questions, in writing.**

Across the comment letters of **nineteen semiconductor companies** in our corpus — **539 individual challenges** — the same preoccupations recur. They are, almost exactly, the dependencies we read independently from the contracts: a foreign nexus, a controlling parent, a single customer, a revenue number that needs an asterisk. The difference is that the SEC has the power to make the company write it down. Here is what it keeps asking.

The China nexus — the questions asked most

The single most persistent theme is not a line on the balance sheet. It is exposure to **China**. For any issuer with operations, subsidiaries, or revenue running through China or Hong Kong, the SEC now works through a standard battery before it will clear a filing — and it is exacting about it.

It pressed **indie Semiconductor** to explain a 50%-owned Chinese subsidiary, to account for the share of consolidated revenue sourced through China, to revise its ownership chart to include the entities domiciled there, to confirm whether it and its subsidiaries fall under **PRC permission requirements**, and even whether its **accounting workpapers would sit in the PRC or Hong Kong**, beyond the reach of US inspection. It pushed **ACM Research** to explain how oversight by China's **Cyberspace Administration** affects the business, and to break out the risk of Chinese-government intervention as its own risk factor. It made **Credo** disclose each permission required from Chinese authorities to sell securities to foreign investors, the operational risks of being based in Hong Kong and China, and how cash actually moves through the structure.

This is not a political reading — it is a disclosure reading. But notice what the regulator is really chasing: **who ultimately controls the company, where the value sits, and whether a foreign state can reach it.** Those are the same questions the ownership dimension of a contract raises — and the SEC asks them first.

Who really controls the company

The second theme is control. The SEC repeatedly forces an "independent" company to spell out the parent standing behind it. It required **Mobileye** to identify **Intel** as the affiliate holding the Dividend Note that would be repaid with IPO proceeds, to provide an organizational chart of the post-reorganization ownership, and to name the directors who would simultaneously hold senior roles at Intel. It made **GlobalFoundries** disclose its "**controlled company**" status under its Abu Dhabi owner, and **Allegro** identify **Sanken** as its controlling affiliate. The corporate-opportunity waiver — the clause by which a

company pre-consents to its owner's conflicts — kept drawing a required risk factor.

The parent-control dependency is exactly what the change-of-control dimension of a contract exposes. The SEC drags it onto the cover page.

How concentrated the customers are

The third theme is who the revenue actually depends on. The SEC pressed **ARM** to name its significant customers — including **Qualcomm** — and to quantify their specific revenue, rather than leave the concentration vague. It forced **Mobileye** to disclose that its three largest customers were **35%, 19%, and 17%** of revenue with **no long-term agreements**, a concentration Mobileye had initially argued was immaterial. The single-customer leash, which a supply contract reveals in its termination and volume terms, the SEC reveals by refusing to let it stay hidden.

Whether the revenue is real

The fourth theme is the quality of the numbers. The SEC required **Credo** to strip warrant contra-revenue adjustments out of its non-GAAP measures, questioned **SkyWater's bill-and-hold** revenue timing and a non-GAAP inventory-impairment adjustment it viewed as an ordinary cost, and made **GlobalFoundries** quantify the real reasons behind large period-to-period swings rather than describe them in generalities. Where a company leans on an adjusted number to tell a growth story, the regulator makes it show the unadjusted one.

Where the money really flows

The fifth theme is related-party movement. The SEC surfaced **Mobileye's roughly \$900 million payable to Intel**, **Allegro's \$9.5 million contribution from Sanken** used to neutralize the cash impact of an IRS settlement, and the foreign financing behind **SiTime** — a **MegaChips** loan and a CEO guarantee that its exhibits had blurred. When a parent covers a subsidiary's tax bill or funds it into an IPO, the line between the two is thin, and the SEC makes the company draw it.

The point

Every one of these is a dependency we read on our own, from the exhibits: a foreign owner your screens can't see, a parent that controls the terms, a customer that could leave tomorrow, a number that needs a footnote. The SEC reads the same filings and has the one thing we don't — **the authority to make the company answer**. The comment letter is the diligence the market almost never opens: the regulator already asked, the company already answered, and all of it is public.

So the practical move is simple. Before you invest in, lend to, acquire, or sign with a semiconductor company, read what the SEC already made it admit — and ask what the SEC would ask about a filing like this one. That is a shorter, sharper diligence list than starting from a blank page. It is sitting on

EDGAR, unread.

A Semipply Research reading, based on public SEC comment-letter correspondence for nineteen semiconductor companies (EDGAR). The regulator's challenges are summarized from that correspondence; specific figures and quoted terms are from the filings and letters. This describes disclosure the SEC required — it is not a view on any company, and it is not legal or investment advice.